

Introduction to China's Financial System

LECTURE 7 STOCK MARKET IN CHINA

Definition of a stock

- A stock is a kind of securities issued by a joint-stock company to its shareholders as a certificate of ownership and in order to obtain dividend income.
- The capital of a joint stock company is divided into several shares of equal amount per share, and the company issues the corresponding number of shares.



The basic elements of stocks

- Shareholder rights
 - Voting rights
 - Including the right to question, vote, and be elected, etc.
 - Claim to earnings
 - The right to receive dividends, the right to transfer ownership, the right to subscribe for new shares, the right to request for the remaining assets of the company, etc.
 - Management decision-making rights, the right to supervise managers.
 - Including the right to know, the right to sue for wrongful acts, the right to convene shareholders' meetings, the right to request the removal of directors or supervisors, the right to request the explanation of the company, and the right to consult the company's accounts and documents, etc.

Classification of shares

- Common stock (Ordinary shares)
 - A type of tradable asset, or security, that equates to ownership in a company.
 - Holders of common stock have the right to vote on things like corporate policies and board of director decisions.
- Preferred stock
 - A type of stock that pays shareholders a specified dividend and has priority over common stock for receiving dividends.
 - It has the characteristics of both equity instrument and bond instrument.

Classification of ordinary shares in China

- According to the different attributes of stocks, China's stock market can be divided into A shares, B shares, H shares.
 - A shares: RMB ordinary shares listed in China;
 - B shares: domestically listed shares denominated in foreign currency;
 - H shares: shares of Chinese companies listed in Hong Kong;
- ✓ Red chips: shares of companies listed in Hong Kong as foreign companies, but whose business is mainly in mainland China.
- ✓ ST stock: ST is the abbreviation of "Special Treatment". On April 22, 1998, Shanghai and Shenzhen Stock Exchange announced that it would conduct Special Treatment for the stock trading of listed companies with abnormal financial status or other conditions, so these stocks are called ST stocks.

China's stock market

- The development history
- The participants and characteristics
- The issuance market
- The trading market
- The regulatory system

The history of China's stock market

The development of China's stock market can be divided into five stages:

- 1. From 1980s to 1990, the initial stage.
- 2. From 1991 to 1999, the preliminary development stage.
- 3. From 2000 to 2009, the rapid development and normative stage.
- 4. From 2010 to 2020, the deepening reform and innovation stage.
- 5. From 2020 to now, the comprehensive deepening stage.

No Stocks in China from 1949 to 1984

Reasons for the Absence of Stocks in China from 1949 to 1984

- **Economic System Factors**
 - In the early days of New China, the production and operation activities of enterprises were carried out in accordance with state plans, and funds were allocated and transferred by the state. There was no need to raise funds through the stock market, and enterprises lacked the autonomy in operation.
- **Social Environment**
 - At that time, people's understanding and knowledge of stocks were relatively limited. Most people had doubts and were resistant to this financial instrument under the capitalist economy, believing that it was incompatible with the socialist economic system.
 - After the founding of New China, it was difficult to restart the stock market before the relevant systems and market environment were fundamentally improved and rebuilt.

No Stocks in China from 1949 to 1984

Background and Policy Support in 1984

- Promotion of Economic System Reform
 - In October 1984, the Central Committee of the Communist Party of China adopted the "Decision on Reform of the Economic System". It put forward that China's socialist economy was a "**planned commodity economy on the basis of public ownership**". It also proposed that "ownership and management rights can be appropriately separated". This provided an important ideological foundation and policy guidance for the shareholding system reform of enterprises.
- Policy Support and Pilot Exploration
 - The policy environment at that time began to **encourage enterprises to conduct pilot projects for shareholding** system reform. In July 1984, the Shanghai Branch of the People's Bank of China issued the "Interim Administrative Measures for the Issuance of Stocks", which provided specific policy basis and regulatory guidance for enterprises issue stocks.

The history of China's stock market

- Initial Exploration Stage (1980s - 1990)
 - In 1984: Shanghai Feilo Acoustics Co., Ltd. was established and issued stocks to the public, becoming the **first collectively-owned enterprise** to publicly issue stocks to the public after China's reform and opening up.
 - In 1986: **The first stock trading counter** in China, the "Jing'an Business Department", emerged in Shanghai, marking the initial formation of China's stock trading market.
 - In 1990: On November 26, the **Shanghai Stock Exchange was officially opened**; on December 1, the Shenzhen Stock Exchange started trial operation. The formation of the two major securities trading markets in mainland China marked **the official birth of the stock market** on the Chinese mainland.

Shanghai Trust and Investment Company Jing'an Branch of ICBC

- 中国工商银行上海信托投资公司静安分公司 “The cradle of China's securities industry”
- In June 1980, in accordance with the instructions of the State Council that banks should pilot trust and investment companies, the People's Bank of China officially started trust business. Shanghai Trust and Investment Company Jing'an Branch of Industrial and Commercial Bank of China came into being.
- Significant Events
 - Acting as an Agent for Stock Issuance: On November 18, 1984, Shanghai Feilo Acoustics Co., Ltd. officially had 10,000 shares of stocks issued through the agency of Shanghai Trust and Investment Company Jing'an Branch of Industrial and Commercial Bank of China, with a total amount of 500,000 yuan. This is regarded as the first genuine stock issuance in the new era of reform and opening up.
 - Setting up a Stock Trading Counter: On September 26, 1986, this company opened the first stock trading counter in New China - Jing'an Securities Business Department, located at No. 1806 West Nanjing Road, Shanghai, marking the initial formation of China's stock trading market.
 - On September 1, 1990, after the establishment of Shenyin Securities Company, the counter was renamed Shenyin Securities Company Jing'an Business Department.
- Jing'an Securities Business Department achieved many firsts. It underwrote the first A-share stock, compiled the first stock index - Jing'an Stock Price Index, and issued the first batch of local discounted financial bonds that could be listed and traded in the country on behalf of others.

The history of China's stock market

- Preliminary Development and Volatility Stage (1991 - 1999)
 - In 1991: The **Shenzhen Stock Exchange officially opened** after the end of its trial operation.
 - In 1992: Deng Xiaoping's southern tour speech promoted the development of the market economy concept and also boosted the further marketization of the stock market.
 - On May 21, the Shanghai Stock Exchange removed price controls on listed stocks, triggering a rapid expansion and extreme activity in the stock market.
 - However, on August 10, the "August 10th Incident" in Shenzhen occurred. The issuance of lottery forms for new share subscriptions led to market chaos and conflicts.
 - In November, China's stock market experienced its first large-scale stock market crash. The Shanghai Composite Index dropped sharply with a decline of about 72%.
 - In 1993: The government introduced a series of policies to stabilize the stock market.
 - In 1995: On February 23, the "327 Treasury Bond Futures Incident" occurred. Due to the uncertainty of the hedging, it eventually led to a market crash and the suspend of T-bond futures market.
 - In April 1998, the State Council has decided that the **CSRC**, as a unit directly under The State Council, has become **the competent authority of the national securities and futures market**.
 - In 1999: On May 19, the "May 19th Rally" began. Under the influence of favorable policies and the restoration of market confidence, stock indexes rose significantly, and high-tech stocks led a bull market.
 - In July 1999, the implementation of the **Securities Law**.

What happened in 1999.5.19?



The history of China's stock market

- ✓ The period from 1992 to 1999 was a transitional period from the central and local governments to the centralized and unified management. The supervision mechanism of the stock market began to take shape, and set limits on the rise and fall and trading volume.
- ✓ Marked by the implementation of the Securities Law in July 1999, China's stock market has entered a new stage of development with the theme of "standardization and development".

The history of China's stock market

- **Rapid Development and Reform Stage (2000 - 2009)**

- In 2000: While the global stock market was volatile due to the Internet bubble, China's A-share market had an independent trend. The Shanghai Composite Index rose by 52%, showing an overall prosperity, which was related to the marginal improvement of the economy at that time.
- In 2001: In August, **the false financial statements** of Guangxia (Yinchuan) Industry Co., Ltd. were exposed, triggering concerns about the information disclosure and supervision of listed companies in the market.
- **In 2005: The share-trading reform** was launched. Through a series of policy promotions, the problem of the separation between tradable shares and non-tradable shares in the A-share market was solved, promoting the advent of the era of full circulation, which was a major change in China's stock market.
- By the end of 2007, 98% of the companies in Shanghai and Shenzhen have completed or entered the process of share reform, and the reform of non-tradable shares has been basically completed.
- In 2007: China's stock market witnessed the "**May 30th Incident**". The government introduced regulatory policies, and the stock market underwent significant adjustments.
- In 2008: The global financial crisis broke out, and China's stock market was severely affected, with stock indexes plummeting.
- In 2009: On October 30, the **Growth Enterprise Market (创业板)** was officially listed, providing financing channels for high-tech enterprises and improving the structure of the capital market.

Yinguangxia 银广夏, China's Enron 安然

- Guangxia (Yinchuan) Industrial Co., Ltd. (abbreviated as Yin Guangxia) was the first listed company in the Ningxia Hui Autonomous Region, a leading enterprise in the modernization of traditional Chinese medicine and agricultural industrialization. It was listed on the Shenzhen Stock Exchange in June 1994. Once it was hailed as "**China's First Blue-chip Stock**" due to its outstanding performance and promising prospects.
- **Fraudulent Means:**
 - Inflating Profits: During the period from 1998 to 2001, the company accumulated fictional sales revenue of 104,962.6 million yuan and understated expenses by 49.4534 million yuan, resulting in an **inflated profit of 771.567 million yuan**.
 - Forging Documents: From the purchase of raw materials to production, sales, and export, **all documents were forged**, including sales contracts and invoices, bank bills, customs export declarations, and income tax exemption documents.
 - Adjusting Expenses: Some expenses that should have been recognized in the current period were adjusted to other periods to reduce current costs and expenses, making the financial statements look more profitable and covering up the real operating conditions.
- **Impact:**
 - Yin Guangxia Company was suspended from listing. Its share price dropped sharply from over 30 yuan per share to just over 4 yuan per share.
 - This incident triggered doubts among the market about the authenticity of the financial information of listed companies.

"May 30th Incident" in 2007

- The "May 30th Incident" in 2007 refers to the sudden announcement by the Ministry of Finance on May 30, 2007, that the **stamp tax rate** for securities (stocks) trading would be adjusted from 1‰ to 3‰. This measure triggered violent fluctuations in China's stock market.
- Event Background
 - **Since the share-trading reform in 2005**, the stock market had been rising continuously for nearly two years. The trading volume in both the Shanghai and Shenzhen stock markets had been expanding continuously, and the speculative atmosphere in the market had gradually become thick.
 - In 2007, China's stock market was **in the midst of a bull market**. At that time, market sentiment was high, and a large number of investors flocked into the stock market.
- Event Process
 - Policy Announcement: In the early morning of May 30, the Ministry of Finance announced an increase in the stamp tax rate. The main purpose of this policy was to suppress excessive speculation in the stock market and cool down the overheated stock market.
 - Market Reaction: On that day, the stock market opened significantly lower and then witnessed panic selling. The Shanghai Composite Index dropped from 4,335 points to 3,404 points within just one week, with a decline of nearly 20%.

"May 30th Incident" in 2007

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- Impacts:
 - On Market Style: After the "May 30th Incident", the market style changed significantly. Funds began to flow from small and medium-sized stocks to large-cap blue-chip stocks. **The market paid more attention to the fundamentals** and performance of companies, and the concept of value investment was strengthened to some extent.
 - On Supervision: This incident made the regulatory authorities **realize the huge impact of policies on the stock market**. Since then, when introducing policies, they have paid more attention to the market's tolerance and the stability of policies.

The history of China's stock market

- **Deepening Reform and Innovation Stage (2010 - 2019)**
 - In 2010: **China's first financial futures product**, the CSI 300 Stock Index Futures, was listed and traded on the China Financial Futures Exchange, opening a new chapter in China's financial derivatives market.
 - In 2014: On November 17, the **Shanghai-Hong Kong Stock Connect** was officially launched, realizing the interconnection between the stock markets in Shanghai and Hong Kong.
 - In 2016: On December 5, the **Shenzhen-Hong Kong Stock Connect** was officially opened, further expanding the linkage between the Shanghai and Shenzhen stock markets and the Hong Kong stock market.
 - In 2018: A-shares were gradually included in international mainstream indices such as the MSCI Emerging Markets Index, the FTSE Russell Global Index, and the S&P Dow Jones Index, marking the acceleration of the internationalization process of China's stock market.
 - In 2019: In June, the Shanghai Stock Exchange established the Science and Technology Innovation Board (科创板) and piloted the **registration-based IPO system**, aiming to support the listing and financing of science and technology innovation enterprises, which became an important breakthrough in the deepening reform of China's capital market.

Shanghai-Hong Kong Stock Connect

1. Shanghai-Hong Kong Stock Connect includes the Shanghai Stock Connect (Northbound Trading) and the Hong Kong Stock Connect (Southbound Trading)

- **Transaction Modes and Scope**
 - Under the Shanghai Stock Connect, Hong Kong investors can entrust local securities firms in Hong Kong to buy and sell the stocks listed on the Shanghai Stock Exchange within the specified scope. For the Hong Kong Stock Connect, mainland investors can use mainland securities firms to trade the stocks listed on the Hong Kong Stock Exchange within the defined range.
 - Regarding the scope of stocks, the underlying stocks for the Shanghai Stock Connect are the constituent stocks of the SSE 180 Index, the SSE 380 Index, as well as the stocks of A + H share companies, etc. The underlying stocks for the Hong Kong Stock Connect mainly include the constituent stocks of the Hang Seng Composite LargeCap Index, the Hang Seng Composite MidCap Index, and the stocks of A + H share companies listed simultaneously in Shanghai and Hong Kong, etc.
- **Trading Quotas and Limits**
 - Shanghai - Hong Kong Stock Connect has daily quota limits. The daily quota for the Shanghai Stock Connect is 52 billion yuan, and that for the Hong Kong Stock Connect is 42 billion yuan. While sell orders are not subject to the quota limit.
- **Trading and Settlement Arrangements**
 - For settlement, Shanghai - Hong Kong Stock Connect adopts the "net settlement" method. For the Shanghai Stock Connect, the Hong Kong Securities Clearing Company Limited acts as the nominee holder and conducts clearing and settlement with the mainland clearing participants. For the Hong Kong Stock Connect, the China Securities Depository and Clearing Corporation Limited acts as the nominee holder and conducts clearing and settlement with the Hong Kong clearing participants. This settlement method can effectively reduce settlement risks and improve settlement efficiency.

Shanghai-Hong Kong Stock Connect

2. How Foreigners Participate in Investments (Taking Investing in A - Shares through Shanghai - Hong Kong Stock Connect as an Example)

- **Account Opening Process**
 - Foreigners first need to open a securities trading account with a securities firm in Hong Kong. The Hong Kong securities firm will review the client according to its internal account opening regulations and anti-money laundering and other regulatory requirements. Once the review is passed, the account opening is completed.
- **Fund Arrangement**
 - Foreigners need to deposit funds into their accounts with the Hong Kong securities firms. The funds can be in Hong Kong dollars or other convertible currencies. When conducting transactions through the Shanghai Stock Connect, the Hong Kong Securities Clearing Company Limited will convert the funds into Chinese yuan for settlement according to the trading situation and the exchange rate.
- **Trading Operations**
 - Investors can use the trading platforms provided by Hong Kong securities firms to buy and sell eligible stocks listed on the Shanghai Stock Exchange within the specified trading hours of the Shanghai Stock Connect.
 - The Hong Kong securities firms will send buy and sell orders to the trading system of the Hong Kong Stock Exchange according to investors' instructions, and then the Hong Kong Stock Exchange will transmit the order information to the Shanghai Stock Exchange for matching and trading.

Growth Enterprise Market (GEM) Board

The Growth Enterprise Market (GEM) Board has focused on aligning with international markets in the process of institutional design and rule improvement in the following specific aspects:

- **Implementation of the Registration-based IPO System**
 - The registration-based IPO system on the GEM Board, which centers on information disclosure, draws on the experience of mature international capital markets. It reduces administrative intervention and enables the market to play a decisive role in resource allocation, making it more in line with the operating models of mainstream international capital markets.
- **Diversification of Listing Standards**
 - The GEM Board has relaxed the financial indicator requirements and placed more focus on innovation capabilities and market potential. It allows unprofitable companies, and those with special shareholding structures to list, opening the door to the capital market for high-tech enterprises with strong innovation capabilities, and great market potential.
- **Innovation in Trading Mechanisms**
 - Introduction of the Market Maker System: The GEM Board has introduced the market maker system. Market makers can provide bilateral quotation services for stocks on the GEM Board, which is in line with the commonly implemented systems in mature international markets like NASDAQ.
- **Coordination with International Generally Accepted Accounting Standards**
 - The GEM Board is gradually aligning with international generally accepted accounting standards in the preparation and disclosure of financial statements, and improving the comparability and universality of financial information, facilitating international investors' investment analysis.

The history of China's stock market

- Comprehensive Deepening and Opening-up Stage (2020 and Beyond)
 - In 2020: **The implementation of the new Securities Law**, the release of the revised compilation plan for the Shanghai Composite Index, the issuance and listing of the first Chinese Depository Receipt (CDR) stock, the implementation of the registration-based IPO system for the Growth Enterprise Market, the launch of the Select Layer of the National Equities Exchange and Quotations and the establishment of the transfer system, and the implementation of a stricter delisting system, etc. There were numerous highlights in the securities market reform.
 - In 2021: On September 3, **the Beijing Stock Exchange** was registered and established. It is the first corporate securities exchange established with the approval of the State Council and is directly supervised and managed by the China Securities Regulatory Commission. It is one of the important measures for the deepening reform and expansion of the opening-up of China's capital market.

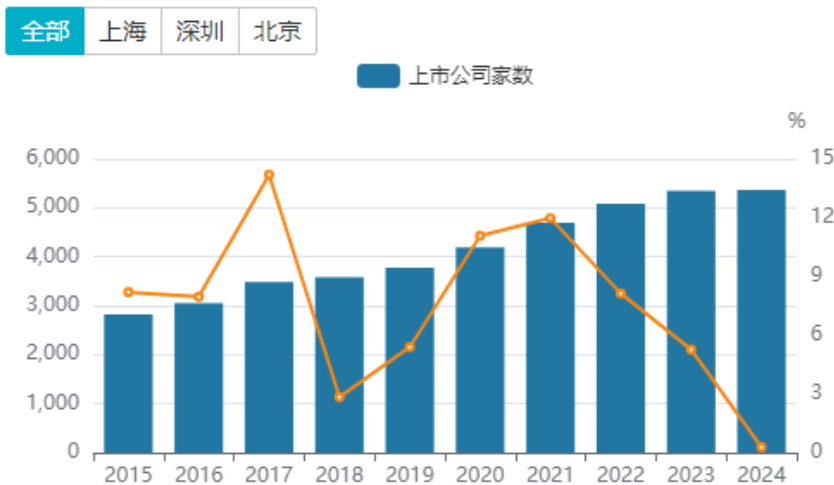
Status of China's stock market in 2023

全部	上海	深圳	北京
82.79 万亿 Trillions yuan 较年初：+3.77 万亿	49.30 万亿 Trillions yuan 主板：42.57 万亿 科创板：6.73 万亿	33.22 万亿 Trillions yuan 主板：21.18 万亿 创业板：12.04 万亿	0.27 万亿 Trillions yuan 主板：0.27 万亿
5,205 家 较年初：+126 家	2,219 家 主板：1,691 家 科创板：528 家 STAR	2,788 家 主板：1,524 家 创业板：1,264 家 GEM	198 家 主板：198 家

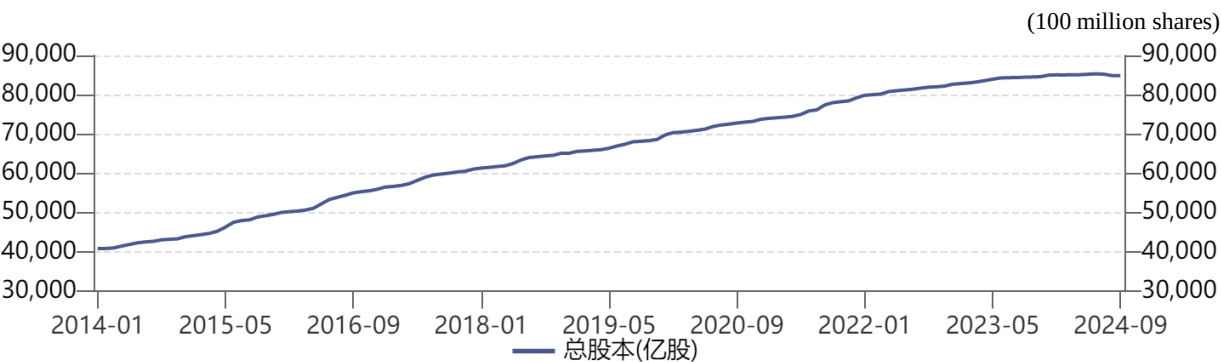
STAR: Science and Technology Innovation Board

GEM: Growth Enterprise Market

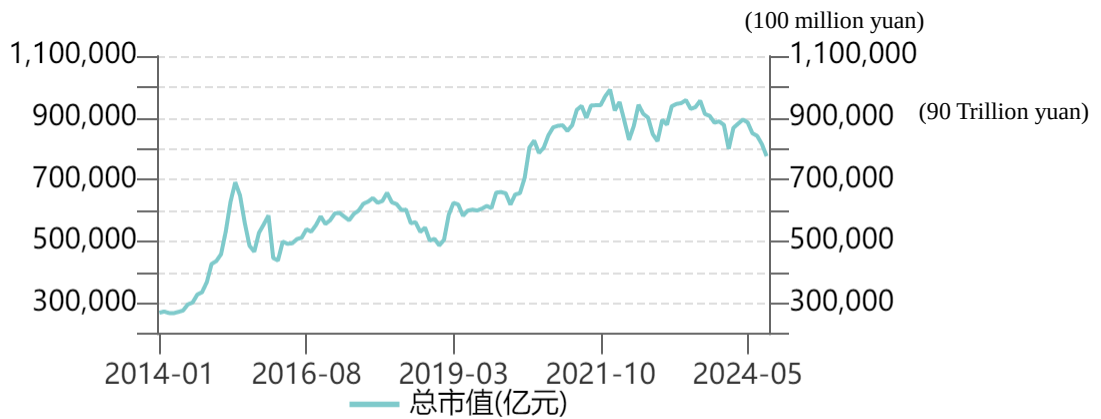
Number of listed firms in China



Total shares in China's stock market



Total market value of China's stock market



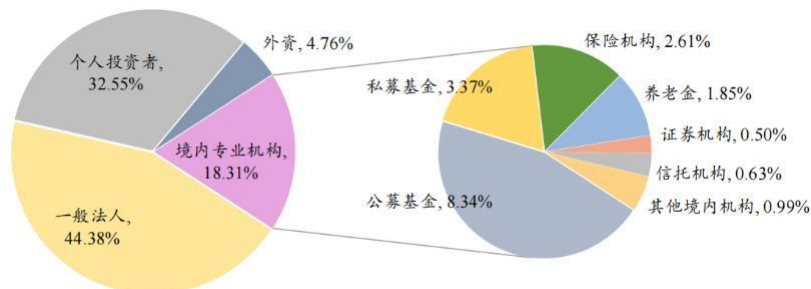
The main participants in a stock market

- (1) Issuer:
 - only joint stock limited companies can issue stocks.
- (2) Investors:
 - institutions or individuals who buy stocks for the purpose of obtaining dividends or capital gains.
- (3) Intermediaries:
 - Institutions that provide services for the issuance and trading of stocks, mainly refer to securities companies and other securities service institutions.
 - Ordinary investors' daily investment behaviors, such as securities trading and investment consulting, are mostly carried out through securities companies.
- (4) Self-regulatory organizations:
 - including stock exchanges, securities industry associations, securities registration and clearing institutions, and securities investor protection funds.
- (5) Regulatory authorities: refer to CSRC and its local offices.

Investors in China's stock market

- **Individual investors**
 - Individual investors are one of the main groups of investors in China's stock market, and their investment motivation is mainly to pursue investment income. Individual investors are characterized by small investment scale, high trading frequency and strong risk appetite.
- **Institutional investors**
 - Institutional investors refer to investors including fund companies, securities companies, insurance companies, banks and other institutions, whose investment scale is large and trading frequency is relatively low. Institutional investors' investment decisions are relatively rational and prudent, focusing on long-term returns and risk control.
- **International investors**
 - International investors refer to foreign institutional investors and individual investors in China's stock market. With the gradual opening up of China's financial market, more and more international investors have begun to pay attention to and participate in China's stock market. International investors are characterized by large investment scale, relatively low trading frequency, and relatively high attention to risk and return.

Structure of investors in China's stock market



Stock issuance market

- Stock exchanges
- Stock issuance system
 - Registration system and approval system
- Stock pricing system
 - Cumulative bid-building method, fixed price method and auction method
- Method of issuance
 - Online inquiry and placement and online subscription combined

Stock exchange

- A stock exchange is an organized, fixed-place market where securities are traded on a continuous basis.
 - By contrast, over-the-counter markets have no fixed organization, or no fixed location, or no uniform trading rules, or are not centrally traded.
- Characteristics of a stock exchange:
 - A strictly regulated organization with limited qualified participants
 - There are fixed locations and well-established institutional rules
 - Conduct centralized trading

Organization forms of stock exchanges

- **Company-Type Stock Exchange**
 - It is a corporate legal person established by banks, securities companies, investment trust institutions and various companies.
- **Membership Stock Exchange**
 - It is a non-profit-making social legal person established in the form of a member association, mainly composed of securities firms. Only members and licensed brokers are eligible to trade securities on an exchange.
- According to the Measures for the Administration of Stock Exchanges issued by China in 1997, stock exchanges are non-profit-making, membership-based enterprise legal persons that provide places and facilities for centralized and organized trading of securities, perform relevant duties and carry out self-regulatory management.

The membership system of the stock exchange

- Stock exchanges in various countries have imposed restrictions on the eligibility of members to trade on the stock exchange.
 - The criteria for determining membership vary from country to country, mainly including the applicant's background, ability, financial resources, knowledge and experience in securities business, reputation and so on.
- Membership of the stock exchange can be divided into different types:
 - Members of the NYSE: commission brokers, exchange brokers, exchange dealers, zero-share dealers, and special members;
 - Membership of the London Stock Exchange: brokers and dealers;
 - Exchange members in Japan: regular members and special members;
 - **In China, there are broker members and dealer members.**

Business of the stock exchange

- Provision of trading venues and facilities
- Set trading rules
- Responsible for organizing floor transactions
- Assist in clearing
- Review and approve securities listing
- Supervise the information disclosure of listed companies
- Supervise securities trading activities
- Release trading and regulatory information and data

Shanghai Stock Exchange (SSE)

- Established on November 26, 1990, under the supervision and administration of the China Securities Regulatory Commission (CSRC). It is a member-based legal person.
 - In February 1992, the SSE opened the Shanghai Stock Exchange Index, the first comprehensive stock index in China.
 - In May 1995, the SSE opened an electronic trading system, ending the era of paper trading.
 - In November 2009, the SSE launched the SSE 50ETF, the first ETF in China.
 - In November 2014, the SSE launched the Shanghai-Hong Kong Stock Connect, connecting the stock markets of Hong Kong and Shanghai.
 - On June 13, 2019, the Science and Technology Innovation Board (STAR Market) was officially launched;
 - On December 23, 2019, the SSE and SZSE simultaneously launched the option trading of the CSI 300 ETF.
 - The Shanghai Stock Exchange has developed into a comprehensive stock exchange with four major types of securities trading, including stocks, bonds, funds and derivatives.
- ✓ *By September of 2024, the number of listed companies in Shanghai had reached 2,269, with a total market value of 51.98 trillion yuan.*

Shenzhen Stock Exchange (SZSE)

- Established on December 1, 1990, is a membership-based legal person under self-regulatory supervision and administration by the China Securities Regulatory Commission.
 - On May 17, 2004, the Shenzhen Stock Exchange set up a small and medium-sized enterprise (SME) section. On June 25, the first eight companies on the SME board were listed.
 - On October 23, 2009, the China Growth Enterprise Board (GEM) (ChiNext board) was officially launched. On October 30, the first batch of 28 GEM listed companies were listed.
 - In December 2016, the SZSE launched the Shenzhen-Hong Kong Stock Connect, connecting the stock markets of Hong Kong and Shenzhen.
 - In April 2021, the main board and the small and medium-sized board of the Shenzhen Stock Exchange were merged.
 - In December 2022, the Shenzhen Stock Exchange listed and traded options on the SZSE 100 ETF.
- ✓ *As of September 17, 2024, there were 2,840 listed companies on the Shenzhen Stock Exchange, with a total market value of about 25.33 trillion yuan.*

Beijing Stock Exchange (BSE)

- Established on September 3, 2021, the Beijing Stock Exchange (BSE) is China's first company-type stock exchange approved by The State Council and supervised by the China Securities Regulatory Commission (CSRC). Its only shareholder is National Equities Exchange and Quotations Co., Ltd.
 - On September 3, 2021, the Beijing Stock Exchange Co., Ltd. was established.
 - On November 15, 2021, the Beijing Stock Exchange officially opened, and 81 small and medium-sized enterprises became the first batch of listed companies.
 - On November 21, 2022, the first index of the Beijing Stock Exchange "the 50-component index of BSE" officially released real-time quotations.
 - On February 13, 2023, the margin trading business (融资融券业务) of Beijing Stock Exchange was officially launched.
 - On February 20, 2023, the Beijing Stock Exchange officially launched its stock market-making trading business.
- ✓ *As of September 17, 2024, there were 252 listed companies on the Beijing Stock Exchange, with a total market value of about 0.28 trillion yuan.*

Main differences between three exchanges

- The Shanghai Stock Exchange mainly serves traditional large enterprises.
- The Shenzhen Stock Exchange mainly serves small and medium-sized enterprises.
- The Beijing Stock Exchange mainly serves specialized, special and new, little giant enterprises.
- The limits on price variation bands:
 - SSE: main board is 10%, while STAR board is 20%.
 - SZSE: main board is 10%, while GEM board is 20%.
 - BSE: rose or fell by 30%.

Stock issuance system in China

Evolution of China's stock issuance system

- Examination and Approval System 审批制(1990-2001)

- The examination and approval system refers to an issuance system in which the quota of stock issuance are **allocated by administrative and planning methods**, and the local government or the competent department recommends the enterprise to issue stocks according to the quota. The primary condition for a company to issue stocks is to obtain quotas.
 - From 1990, the examination and approval power of new share issuance and listing belonged to different government departments.
 - From April 22 1993, the Securities Regulatory Commission (CSRC) would uniformly examine and approve the issuance of stocks.
- The approval system consists of two stages.
 - (1) 额度管理 **Quota management stage from 1990 to 1995**, the quota was issued to the provincial government or industry authorities, who recommended the enterprises within the quota limit, and then the CSRC uniformly approved the enterprises to issue stocks.
 - (2) 指标管理 **Scale management stage from 1996 to 2000**, a method of "total volume control and limited number of IPOs", that is, the State Planning Commission and the Securities Commission jointly worked out the total scale of stock issuance, and the CSRC, within the determined total scale, According to the market conditions, the number of issuing enterprises shall be assigned to each region and department, and the enterprises shall be examined.
- The examination and approval system has a strong connotation of planned economy, and its disadvantages are such as the choice of administrative enterprises and the small scale of enterprises leading to the manipulation of the secondary market. Administrative examination and approval system leads to a large rent-seeking behavior in the system.

Evolution of China's stock issuance system

- Approval System 核准制(2001-2020)

- On March 16, 2000, China Securities Regulatory Commission (CSRC) issued the Stock Issuance Approval Procedures, marking the beginning of China's stock issuance system from the examination and approval system to the approval system.
- On March 17, 2001, the stock issuance approval system was officially launched. Under the approval system, the power of administrative examination is weakened, and the transparency of the issuance process is improved.
- 1. **Channel System 通道制** (2001-2004)
 - In 2001, the Securities Association of China proposed that securities companies recommend enterprises to issue stocks to implement the plan of "securities companies queuing up by themselves and limiting the number of companies reporting", commonly known as "channel system".
 - Each securities company can only submit another one for each approved enterprise recommended by each securities company, that is, "one after approval, one more". The number of channels owned by securities companies with qualification is at most 8 and at least 2. A total of 83 securities companies had 318 channels.
- 2. **Sponsor System 保荐制** (since 2004)
 - On December 28, 2003, China Securities Regulatory Commission (CSRC) decided to formally implement the sponsor system in stock issuance from February 1, 2004.
 - Sponsor system refers to that the sponsor recommends and guides the issuer to issue securities, and verifies whether the information contained in the company's issuance documents is true, accurate and complete, assists the issuer to establish a strict information disclosure system, undertakes the responsibility of risk prevention, and continues to assist the issuer to establish a standardized corporate governance structure within the specified time after the company is listed.
 - Compared with the "channel system", the sponsor system increases the content of joint liability in the process of issuance and listing by the sponsor.

Evolution of China's stock issuance system

- Registration System 注册制(2020-)

- Registration system refers to a system in which the securities issuance **applicant discloses all information** and materials related to the issuance of securities in accordance with the law, makes legal documents and sends them to the competent authority for examination, and the competent authority is only responsible for examining whether the information and materials provided by the issuance applicant fulfill the obligation of information disclosure.
- Under the registration system, the examination institutions of securities issuance only conduct formal examination of the registration documents, and investors make their own investment decisions based on the disclosed information.
 - In 2019, the Shanghai Stock Exchange set up a science and technology innovation board (STAR) and piloted a registration system.
 - On December 28, 2019, China passed the revised Securities Law, which proposed the comprehensive implementation of the securities issuance registration system from March 1, 2020.
 - On August 24, 2020, the GEM of the Shenzhen Stock Exchange reformed and piloted a registration system.
 - On November 15, 2021, the Beijing Stock Exchange opened and piloted the registration system simultaneously.
 - On February 17, 2023, China Securities Regulatory Commission (CSRC) issued the relevant system rules for the full implementation of the stock issuance registration system.
 - On March 17, 2023, the first batch of 10 main board IPOs were approved by the CSRC; On the evening of March 19, the first batch of mainboard IPO companies under the comprehensive registration system started to issue shares.

Issue price of shares

- The stock issue price is the most basic and important content in the stock issue plan. It is related to the fundamental interests of the issuer and investors and the performance of the stock after listing.
- Methods of IPO pricing:
 - Fixed Price
 - Auction method
 - Cumulative bid Book-building

Issue price of shares

There are two ways to determine the price of stock issue in China:

- 1. Fixed price method.
 - the underwriter determines the issue price in advance, and investors subscribe according to this price. The lead underwriter and issuer determine the price of new shares according to the P/E ratio, $\text{price} = \text{after-tax profit per share} \times \text{issue P/E ratio}$.
 - Fixed price method is divided into fixed price public subscription method and fixed price allowed placement method. The latter allows underwriters to place shares. Many emerging markets adopt fixed-price offerings in their early stages.
- 2. Range inquiry (Auction).
 - also called bidding to issue, that is, after determining the price ceiling and lower limit of new shares, the issuing company entrusts the main underwriter to use the trading system of the stock exchange, according to the principle of collection bidding at the time of issuance, through the bidding of investors to subscribe to determine the price of stock issuance. The issue price of new shares mainly depends on the profit after tax per share and the price earnings ratio of issuing. This way of issuing new shares, mostly in the use of additional issuance.
- In addition, there is book building, which is commonly used in the American market.
 - Book building, the investment bank evaluates the aggregate demand for the issue based on the submitted bid after collecting all bids at various price levels. An underwriting syndicate negotiates a price range with the issuer and then solicits demand at each price through marketing. After analyzing the demand, the lead underwriter and the issuer determine the final issue price.

Meaning of P/E ratio

- Suppose a stock's market price is \$24 and its earnings per share over the past 12 months is \$3, then the P/E ratio is $24/3=8$. The stock is considered to have a P/E ratio of 8, that is, 1 yuan of earnings for every 8 yuan invested.
- In general, the relationship between P/E and stock valuation is as follows:
 - 0-13: undervalued
 - 14-20: Normal level
 - 21-28: overvalued
 - > 28: reflects a speculative bubble in the stock market
- U.S. stocks trade at an average P/E of 14, representing a 14-year payback period, an average annual return of 7% ($1/14$).
- China's stock market P/E of 45 is basically reasonable. In the current secondary market, the average weighted P/E of the main board is 23.
- The higher P/E ratio of the stock, the greater the investment risk. High P/E ratio will compress the space of stock investment value and make the company face greater risk of "breaking" after listing.

Evolution of IPO pricing system in China

- Stage I: administrative pricing stage (1991-1999)
 - In the early 1990s, the scale of China's stock market was limited, and most of the stocks were issued by themselves or in some place, and most of them were priced by fixed price-to-earnings ratio.
 - This stage mainly includes **fixed P/E pricing** (1993-1996) and relatively fixed P/E pricing (1997-1998).
 - In the stage of fixed P/E pricing (1993-1996), the number of stocks to be issued and the P/E ratio to be issued were determined by the Securities Commission of The State Council.
 - In the relatively fixed P/E (1997-1998) pricing stage, the regulation on P/E ratio was relaxed, and the P/E ratio fluctuated between 13 and 16 times.
 - Although the average P/E of new issues from 1992 to July 1999 is between 13 and 15 times, due to the different calculation basis of earnings per share, there are still significant differences in the issue price.

Evolution of IPO pricing system in China

- Stage II: Trial implementation of market-oriented pricing (1999.8 - 2001.11)
 - Since the middle of 1999, the regulatory authorities have carried out a series of reforms aimed at promoting the marketization of stock issuance.
 - It is the trial phase of **cumulative bidding pricing** (book-building). The issuing company and the main underwriter can set an issue price range, and inquiry the subscription intention of the placing object through the Q&A meeting , and then determine the final issue price. However, the final issue price shall be determined within the price range approved by the CSRC.
 - The implementation of cumulative bidding pricing is intended to reduce the profit opportunities of new shares, reduce the probability of "beating new shares", so as to reduce the excessive agglomeration of funds in the primary market, reduce the accumulation of risks in the stock market, and finally achieve the coordinated development of the primary and secondary markets.

Evolution of IPO pricing system in China

- Stage III: re-limiting price-earnings ratio pricing stage (2001.11-2004.12)
 - There are two obvious characteristics in the issuance of new shares in 2001.
 - The new stock price set according to the market price keeps pushing up;
 - The stock market falls sharply due to the reduction of state-owned shares in the second half of 2001.
 - In this stage, the "channel management system" replaced the previous "quota management".
 - The role of administrative department in the process of stock issuance is gradually weakened, and the role of the underwriter is strengthened. The lead underwriter has the power and obligation to recommend stock issuance, which also means that it bears more responsibility for the issuance.
 - In this stage, the regulator also adopted the way of **controlling the price-earnings ratio pricing**: the price-earnings ratio of the issue is allowed to have a 10% floating range, and the price-earnings ratio of the issue is not more than 20 times.
 - This pricing method seems to return to the previous administrative pricing stage. However, from the actual operation results, it has played a role in stabilizing the market to a certain extent. During the period of 2001-2004, the P/E ratio of issuance decreased to a large extent compared with that of 1999-2000, and basically maintained between 17-19; The IPO underpricing rate also decreased significantly and remained within 100%.

Evolution of IPO pricing system in China

- Stage IV: Re-marketization stage (2005.1-)
 - In this stage, the "approval system" replaced the previous "channel management system".
 - The core of the approval system is that the stock issuance must be approved by the corresponding securities regulatory authorities, and the enterprise to be issued must obtain the approval documents of the relevant departments before exercising the right to issue stocks.
 - The IPO pricing system corresponding to this stage is **book-building system**.
 - In December 7 2004, China Securities Regulatory Commission (CSRC) stipulated that the trial inquiry system for initial public offerings will be implemented from January 1, 2005. The essence of the inquiry system is the accumulative bidding inquiry system. The price is determined by the market-oriented way, and the government does not control the price.
 - So far, the CSRC has carried out three stages of reform on the inquiry system.

February 1, 2023, the real marketization era

- On January 12, 2014, CSRC issued the Measures on Strengthening the Supervision of New Share Issuance, making it clear that the issuer determines the industry to which it belongs, and selecting the static average price-earnings ratio of the latest month issued by China Securities Index Co., Ltd. as the reference basis. Since then, the invisible ceiling of 23 times P/E ratio has appeared in the A-share IPO market.
- On February 1, 2023, regulators announced the implementation of a full registration system. The issuance and pricing rules of the main board, the Science and Technology Innovation Board and the Growth Enterprise Board are basically unified, that is, the pricing mechanism with market-oriented inquiry as the main body and direct pricing as the supplement is fully implemented. This means that the main board ceiling of "23 times the issuance P/E" is about to become history.
- After 33 years of development, China's capital market has finally entered the era of real marketization.

Changes after the reform of registration system

- In the first five days of the main board listing, there is no longer a limit on the rise and fall, and on the sixth day, it is in accordance with the original rise and fall of 10%. The original is the first day of listing can only rise 44% at most, and the fall is 36%. It puts an end to the phenomenon of continuous rise or fall of new shares, maintains the fairness and justice of the trading system;
- Issue pricing will open the comprehensive marketization, the previous IPO has a specific P/E ratio limit, after the comprehensive registration system tends to market independent pricing;
- Leave the option to the market, strengthen market constraints, rules and laws; the main responsibility of supervision is setting the procedures and rectifying illegal behaviors;
- It will further increase the intensity of delisting and maintain the mechanism of market entry and exit, which has significantly changed with the era of audit system.

Registration system and approval system

- Advantages of registration system over the approval system
 - (1)the threshold of enterprise listing is lower, the efficiency is higher, and the IPO speed is faster;
 - (2)the increase of investors' investment targets, which may hide the next Tencent, Microsoft, Apple;
 - (3)the success rate of new share application has increased.
- “Negative effects” of registration system
 - (1)the speed of listing is accelerated, and the blood drawing effect of A-shares is stronger, resulting in obvious capital outflow effect, which may lead to A-shares not rising for many years;
 - (2) the financial standard of listing enterprises is reduced, the probability of delisting increases, and the difficulty of investment increases;
 - (3) fall on its first day of trading (breaking) is normal, the effect of new shares will disappear, and the era of making money by hitting new shares is gone forever.

The circulation of stocks

- Floor trading: buying and selling shares through a stock exchange.
- Over-the-counter trading
 - OTC (over-the-counter)
 - Third Board Market
 - Fourth Board Market

Stock trading process

- 1. Account opening: investors open an account in securities companies to deposit stocks and funds;
 - 2. Entrustment: all transactions of shareholders are through the securities company;
 - 3. Trading: investors buy and sell through the platform of securities companies or trading software;
 - 4. Transaction: after receiving investors' trading orders, the transaction is confirmed to be completed.
- ✓ Stock trading must go through four steps--bidding, clearing, delivery and transfer--to complete the transaction, each step has corresponding system provisions.

Stock trading system

Price formation mechanism of stock exchange

- Price formation mechanism refers to the way in which the stock exchange price is formed. It is the core of the stock exchange system.
- There are two basic ways of trading price formation mechanism:
 - Bidding system
 - Market maker system

Bidding system

- Under the bidding trading system, the trading price is directly determined by the buyer and seller, the buyer and seller directly or through the designated broker to entrust to the trading market, in the center of the trading market based on the entrusted price, according to the principle of price priority, time priority for trading.
- This method is also known as Auction-driven or Order-driven.
- According to whether the securities trading is continuous in time, the bidding trading system is divided into “intermittent bidding trading system” and “continuous bidding trading system”.
 - Continuous bidding system: including Hong Kong, London FT100, Paris CAC40;
 - Intermittent bidding system: generally as the decision of the opening price, in addition to Paris, Brussels, Amsterdam for light stock trading also use intermittent bidding system.

Market maker trading system

- The market-maker refers to such a number of securities firms, they constantly quote the buying and selling price of some specific securities to public investors at any time, and conduct securities trading with investors with their own funds and securities.
- Market makers maintain the liquidity of the market and meet the investment needs of public investors through such continuous trading. Market makers make profits not by taking a commission but by buying and selling the difference.
- According to the demand of buyers and sellers in the market, their own inventory level and the degree of competition from other market makers, the market maker constantly adjusts the bid and ask price, thus determining the rise and fall of the price.
- Under the Market Maker system, the buying and selling prices of securities are all given by the market maker. Investors buy or sell securities from the market maker.
- The essence of the market maker trading system is a price decision and trading system driven by the quotation of market makers, also called Quote-driven system.

Characteristics of the market maker system

- There are two important features of a market maker system:
 - (1) All customer orders must be bought and sold by the market maker's own account, and customer orders do not trade directly with each other;
 - (2) The market maker must quote the buy and sell price before seeing the order, while the investor places the order after seeing the quote, so the market maker system is also called "quote-driven trading system".
- Markets that use the market maker system include NASDAQ in the United States and the London Foreign Stock Market.

Pros and Cons of Market Maker System

- Advantages: (1) active trading (2) correct pricing of securities.
 - The main reason is that market makers have information advantages:
 - market makers are securities companies, with information channels and talents.
 - market makers serve issuers for a long time and are able to obtain sufficient information.
 - market makers can get the information of buying and selling orders in advance.
- Disadvantages:
 - (1) Lack of transparency, buying and selling information is concentrated in the hands of the market maker, investors can only know the market maker's quotation and transaction information;
 - (2) Collusion may occur among market makers, resulting in high operation and supervision costs, and heavy burden on investors.

The trend of price formation system

- Trend: move towards mixed trading system.
 - The London Stock Exchange (LSE), a traditional market maker market, adopted electronic bidding system for FT100 shares in 1997.
 - Nasdaq, the originator of the market maker system, launched the "Super Montage" program in 2002 to fully introduce the bidding system.
 - As a typical bidding market, Paris Stock Exchange launched a new market in 1997, which adopted the market-maker-based trading system.

The price formation system in China

- The main stock market of China's A shares uses the bidding system.
- Information about buying and selling stocks is funneled through brokers to the exchange, which matches the trades based on the principle of time priority and price priority.

The bidding system of exchanges in China

- The current stock market is completely electronic. After bidding between buyers and sellers, the computer system matches the transaction, and follows the principle of price priority and time priority.
- Collective bidding 集合竞价
 - A number of entrustment quotation or all the entrustment quotation in a period of time are concentrated together. A transaction price will be determined according to the principle of “not higher than the bid price and not lower than the ask price”, and the number of stocks traded under this price is the largest. And this price is the transaction price of all the entrustment. Setting price by the computer transaction processing system will also be in accordance with the price priority and time priority principle.
 - **The Shanghai and Shenzhen stock exchanges implement open collective bidding, and the open collective bidding time is 9:15-9:25 in the morning, and 14:57-15:00 in the afternoon.**
- Continuous bidding 连续竞价
 - **9:30 after the opening of the market, the system began to continuous bidding,** orders not completed in collective bidding period continues to be valid, automatically enter the continuous bidding.
 - Continuous bidding also follows the principle of time priority and price priority, but different from the collection of purchase price, in the continuous bidding time, as long as there is order that meets the transaction conditions, it will be immediately completed.

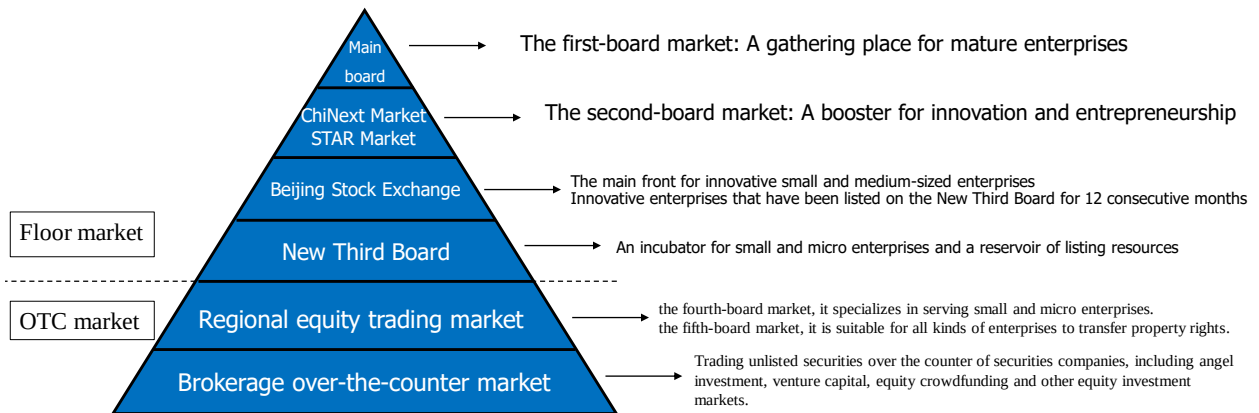
Market-maker system for the first time in China

- On October 31, 2022, the Science and Technology Innovation Board (科创板) officially launched the market-maker system. Market makers are introduced into the main domestic stock market for the first time in China.
- The introduction of the market maker mechanism does not change the original bidding trading system. That is to say, on the basis of bidding, market makers make bilateral quotations, and investors may make transactions with market makers or with other investors.
- At present, a total of 14 securities firms have obtained the market maker qualification of the Science and Technology Innovation Board.
 - The securities firms that can participate in the first batch of pilot programs must meet the two conditions of net capital of no less than 10 billion yuan in the last 12 months and classification rating of class A (including) or above in the last three years.

Securities credit trading system

- Credit trading is also called “margin trading” (融资融券). Margin trading is when you pay only a certain percentage, or margin, of your investment cost, while borrowing the rest of the money (or securities) you need from your broker.
- The securities buyer or seller through delivery of a certain amount of margin, get the credit from securities brokers.
 - When investors want to carry out credit trading, they should open a margin account in the broker's office, which is used to reflect investors' margin trading and the account of asset changes.
 - The brokerage firm manages the margin account on behalf of the client and calculates the actual margin balance in the account at the closing price each day.
 - A securities brokerage firm has the right to use the collateralized securities in the margin account as collateral for a bank loan. A securities broker also has the right to lend the collateralized securities of its clients in the margin account to other clients who sell short on margin.
- Credit trading can be divided into credit buying trading and credit selling trading.

China's multi-tiered capital market



Note:

On April 6, 2021, the Small and Medium Board was merged with the main board of the Shenzhen Stock Exchange.

On September 3, 2021, the Beijing Stock Exchange was established.

Stock price index

- Capital market price index: A statistical indicator that reflects the overall price changes in the secondary market, including: stock price index, bond price index and fund index.
- Stock price index
 - Definition: A reference indicator compiled by a stock exchange or financial service institution that indicates the overall movement of stock prices, i.e. the average price of a stock market movement
 - Background: Individual price indicators, such as opening price, closing price, high price and low price, do not accurately reflect the general situation of stock price changes, but only reflect the changes at a certain point in time.

Classification of stock price indexes

- Composite index: An index that takes into account the stock prices of all listed companies
 - For example, the Shanghai Stock Exchange Composite Index and the Shenzhen Stock Exchange Composite Index in China
- Component index: A stock price index calculated by selecting the stock prices of some representative companies
 - For example, the SSE180 index launched by Shanghai Stock Exchange in 2002 is an index that reflects the price changes of 180 representative stocks.

Commonly used stock price indices

- Dow Jones Industrial Average (USA)
- S&P Stock Price Index (USA)
- London Financial Times Share Price Index (UK)
- Nikkei Stock Index (Japan)
- Hang Seng Index (HK)
- Shanghai Composite Index (China)
- Shenzhen Component Index (China)

Commonly used stock price indices

- (1) The Dow Jones Stock Index in US
 - It was compiled in 1884 by Dow Jones, an American financial news publisher, using a sample of representative stocks on the New York Stock Exchange. The index is based on a sample of 65 representative companies in the United States and is based on the October 1928 stock market price (100). It has since been expressed in points rather than dollars. The index is divided into four groups: the Dow Jones average of 30 industrial stocks; The average of 20 transportation stocks; The average of 15 public utilities; And a composite price index of the 65 stocks mentioned above.
- (2) S&P index in US
 - In 1923, the index was compiled by Standard & Poor's company of the United States. The index selected 500 stocks, the base period was 1941-1943, the base period limit was 10, and the market value weighting method was used to compile. The total market value of 500 stocks accounts for more than 80% of the total market value of the New York Stock Exchange. On January 2, 1976, the basis point was 100.
- (3) London Financial Times Share Price Index -- FTSE 100 Index,UK
 - Compiled by the Financial Times of London, with July 1935 as the base period and a base period value of 100, it is divided into three groups: the sample of the first group is 30 representative British industrial and commercial stocks listed on the London Stock Exchange; The other two groups are composed of 100 stocks and 500 stocks from various industries respectively. The first set of stock price indices is usually referred to.
- (4) Nikkei Stock Index in Japan
 - Compiled and published by Nikkei, it is compiled by selecting 225 listed companies' stocks based on the average stock price of 176.21 yen in 1950. It is the most commonly used and reliable index to investigate and analyze the long-term trend of stock prices in the Japanese stock market.
- (5) Hang Seng Price Index in Hong Kong
 - It is compiled by Hang Seng Bank of Hong Kong based on 33 representative stock prices of various industries, with July 31, 1964 as the base period and a base period value of 100. The 33 sample stocks are divided into four categories: financial industry, public utilities, real estate, and industrial and commercial. Its constituent stocks are all blue chip stocks, and their total market value accounts for 2/3 of the total market value of all stocks. It is the most representative stock price index in Hong Kong stock market.

Main stock price indices in China

- Shanghai Composite Index
 - The SSE Composite index is based on December 19, 1990 and started to be published on July 15, 1991. The benchmark point is 100 points.
 - The SSE Composite Index takes all stocks in the Shanghai stock market as the calculation object, and the calculation formula is as follows:
Stock index = (total stock market value of the day ÷ total stock market value of the base period) × 100
- Shenzhen Component Index
 - A number of representative stocks of various industries (500 stocks) selected from the Shenzhen market are used as samples for the stock price index compilation.
 - The compilation method is weighted by the outstanding shares.
 - The SZSE Component Index takes July 20, 1994 as the base period, and the base point is 1000 points.

Shanghai Composite Index



Characteristics of China's stock market

- 1. China's stock market is not the barometer of macro economy and real economy in the classical sense in mature markets of western countries. When macro economy and real economy rise, the stock market may or may not rise. If the real economy and the macro economy decline, the stock market will definitely fall.
- 2. China's stock market is the only securities market in the world dominated by the public sector and state-owned companies. 79% of the shares are state-owned company shares.
- 3. There are many companies in the Chinese stock market that make good profits and are the leaders and flags of the industry. But they do not want to pay dividends.
- 4. China's stock market is closely related to the central bank's monetary policy, but slightly less related to fiscal policy.
- 5. There is no legal market maker system in China before 2022, but for a long period of time, manipulators run wildly.

Characteristics of China's stock market

- 6. There is no real classic short selling mechanism in China's stock market. Stock index futures have a high threshold and few participants. Therefore, there is no hedging function of mature markets in western countries,
- 7. There is no real classic delisting mechanism in China's stock market. More in and less out, like a pool of stagnant water. Local government is closely related to listing firms, it always wants to protect the shell.
- 8. Because the RMB is not freely convertible, China's stock market is usually a closed and small stock market. The connection and influence with the foreign stock market is mainly psychological and indirect.
- 9. The Chinese stock market pays special attention to the financing function, pays less attention to investment function, risk diversification function, and transformation of enterprise management mechanism.

Supervision system of China's stock market

- China's stock market supervision has been gradually established since 1990.
- The supervision mechanism involves many institutions and rules and regulations, which constitute a huge supervision system.
- Two main bodies are responsible for the regulatory mechanism:
 - the China Securities Regulatory Commission (CSRC)
 - the Stock Exchanges.

Other regulatory bodies

- China Securities Depository and Clearing Corporation (“China Clearing”)
- 中国证券登记结算有限责任公司（简称为“中国结算”“中证登”“CSDC”）
 - It is the clearing house of China's stock market and is responsible for handling the transfer of funds and shares when stocks are bought and sold.
 - China Clearing is also an important member of the regulatory body, responsible for providing stock market statistics to the CSRC and supervising whether the information disclosed by companies is true and timely.
- In addition, there are other regulatory and law enforcement agencies, such as:
 - China Securities Investor Protection Foundation 中国证券投资者保护基金有限责任公司
 - An institution established by the Chinese government to provide investors with investment advice, financial assistance and channels for resolving stock complaints.
 - China Securities Investor Services Center 中证中小投资者服务中心（投服中心）
 - A non-profit financial institution to help individual investors to exercise shareholders' legitimate rights, provide mediation and settlement services as entrusted by individual investors, investigate and monitor investors' needs and demands, and carry out strategic research and planning.

Laws, regulations and rules

- The regulatory mechanism of China's stock market also includes various laws, regulations and rules.
 - Listed companies must abide by the Company Law, the Securities Law and other regulations, disclose corporate information in a timely manner, and strictly abide by financial regulations.
 - The securities market itself also has a series of rules and regulations, such as limiting stock price fluctuations, prohibiting insider trading, and stipulating procedures for corporate information disclosure.

The development trend of China's stock market

- Continuing to promote market-oriented reform
 - China's stock market has carried out a series of market-oriented reforms in the past few years, including reforming the listing system and abolishing stock transaction fees, and will continue to push forward market-oriented reforms to further optimize the market environment.
- Strengthening supervision and risk prevention and control
 - In the future, the regulatory authorities will further strengthen the supervision of the market to ensure the healthy and stable development of the market.
- Deepening the development of market systems
 - China will continue to promote the construction of multi-level capital market system, expand the scope of equity trading market, and improve the activity and liquidity of the market.
- Promoting innovation-driven development
 - China's stock market will continue to promote innovative development, including promoting scientific and technological innovation, accelerating the development of emerging industries represented by the new economy, and developing green finance.